

BANK OF LEEDS

Infrastructure & Digital Assets Division

STRICTLY CONFIDENTIAL

Internal Investment Memorandum

Project NORTHLIGHT

Acquisition & Development of a £100 Million Regional AI Data Centre

Prepared for: Investment Committee

Prepared by: Infrastructure & Digital Assets Division

Investment Class: Digital Infrastructure

Target Investment: £100,000,000

Executive Summary

The Infrastructure & Digital Assets Division recommends investigating the development of a **£100 million AI-enabled regional data centre** in the Humber Energy Estuary.

Rather than competing with hyperscale operators investing billions in individual campuses, the Bank of Leeds would target the **regional enterprise, AI, public sector, and high-performance computing market**. The strategy is to develop a scalable digital infrastructure asset with the option to expand in phases as demand grows.

The investment thesis rests on four structural advantages:

- Access to long-term renewable electricity through power purchase agreements (PPAs) linked to offshore wind generation.
 - Lower industrial land and construction costs than London and the South East.
 - Strong fibre connectivity to Leeds, Sheffield, Hull and national internet exchanges.
 - Increasing demand from AI, cloud services, financial services, healthcare and advanced manufacturing.
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Investment Thesis

Digital infrastructure has become an institutional asset class comparable to logistics parks, airports and renewable energy infrastructure.

Demand is increasingly driven by:

- Artificial Intelligence
- Cloud Computing
- Government Digital Services
- Financial Services
- Defence Technologies
- Scientific Computing

Unlike speculative software investments, data centres generate revenue from long-term infrastructure contracts.

Typical characteristics include:

- 10–15 year customer agreements
 - Recurring rental income
 - High customer retention
 - Inflation-linked pricing
 - Predictable operating cash flows
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Proposed Development

Phase One

Construction of a Tier III regional data centre.

Initial IT Capacity:

10 MW

Expandable to:

25 MW

Ultimate Site Capacity:

50 MW

Potential Customers:

- Regional businesses
- NHS Trusts
- Universities
- Local authorities
- Financial institutions
- AI companies

- Manufacturing firms

Capital Investment

Component	£ millions
Land Acquisition	6
Grid Connection	12
Site Preparation	8
Building Construction	22
Electrical Infrastructure	20
Cooling Systems	10
Fibre Connectivity	4
Security & Monitoring	3
Professional Fees	5
Contingency	10
Total Investment	100

Why the Humber?

Energy

The Humber region is adjacent to one of Europe's largest offshore wind clusters and has extensive high-voltage transmission infrastructure.

The project would seek long-term renewable PPAs to reduce electricity price volatility and improve operating cost certainty.

Land

Industrial land values in the Humber are generally lower than in the South East, enabling larger sites with room for future expansion.

Illustrative comparison:

Region	Indicative Industrial Land Value
Greater London	£3–8 million/hectare
Humber Region	£250,000–700,000/hectare

Cooling

The Humber's cooler climate offers opportunities to reduce cooling energy through free-air cooling for much of the year, lowering operating costs.

Financial Model (Illustrative)

Initial Investment

£100 million

Customer Mix

Customer	Allocation
Enterprise Cloud	35%
AI Compute	25%
Public Sector	20%
Financial Services	10%
Research & Universities	10%

Projected Annual Revenue

Revenue Source	£m
Colocation Services	11
AI Compute Leasing	7
Cloud Infrastructure	5
Connectivity Services	2
Managed Hosting	2
Business Continuity Services	1
Gross Revenue	28

Annual Operating Costs

Cost	£m
Electricity	8
Staff	3
Maintenance	2.5
Cooling & Water	2
Insurance	0.8
Security	1
Administration	1.2
Total Operating Costs	18.5

EBITDA

Metric	Value
Annual Revenue	£28m
Operating Costs	£18.5m
EBITDA	£9.5m
EBITDA Margin	34%

Capital Structure

Funding Source	Amount
Bank of Leeds Equity	£30m
Infrastructure Debt	£70m

Illustrative debt terms:

- 25-year maturity
 - Fixed-rate or inflation-linked financing
 - Security over the completed asset and contracted revenues
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Indicative Investment Metrics

Metric	Value
Capital Investment	£100m
EBITDA	£9.5m
EBITDA Margin	34%
Target Project IRR	8–11%
Simple Payback	11–13 years
Design Asset Life	40+ years (with periodic equipment refreshes)

Expansion Strategy

The site should be master-planned to allow phased growth.

Phase II

Expand to **25 MW**

Estimated Investment:

£120–150 million

Phase III

Expand to **50 MW**

Estimated Additional Investment:

£250–300 million

This staged approach reduces initial capital risk while preserving long-term optionality.

Economic Impact

Estimated regional benefits include:

Construction

- 300–500 jobs during development

Permanent Employment

- 80–120 skilled operational roles

Supply Chain

- Local engineering
- Electrical contractors
- Security services
- Facilities management
- Telecommunications

Wider Benefits

- Attraction of AI businesses
 - Improved digital resilience
 - Support for university research
 - Increased demand for regional technology services
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Key Risks

The Investment Committee should commission due diligence on:

- Grid connection availability and timelines
 - Anchor tenant commitments
 - Electricity procurement strategy
 - Construction cost inflation
 - Technology refresh requirements
 - Competition from other regional data centre markets
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Recommendation

The Infrastructure & Digital Assets Division recommends approval of **Stage I Feasibility** to determine whether a **£100 million regional AI data centre** can achieve stable, infrastructure-style returns while strengthening Yorkshire's digital economy.

The next phase should include:

- Site selection across the Humber.
- Grid and fibre capacity studies.
- Renewable electricity procurement analysis.
- Commercial engagement with prospective anchor tenants.
- Detailed financial modelling.
- Planning and environmental assessments.

If successful, Project NORTHLIGHT would provide the Bank of Leeds with a long-lived digital infrastructure asset capable of generating recurring revenues while creating a platform for future expansion into a larger Northern England data centre and AI ecosystem.